

Now that you can identify ascending triangles and know their behavior, how do you trade them? Before I give an example of a trade, let's discuss trading tactics and the measure rule.

Measure rule, targets. The measure rule sets a price target, so we can check the probability of price actually reaching the target.

Compute the height of the triangle from the top trendline to the lowest low near or at the start of the triangle. For upward breakouts, add the result to the price of the horizontal trendline. For downward breakouts, subtract the height from the breakout price to get the target.

An example for upward breakouts makes the calculation clear. Consider the stock shown in [Figure 64.5](#). Calculate the height of the triangle by subtracting the low (14.38 at the first minor low) from the high (17.63 denoted by the horizontal trendline) at the triangle's start. The difference is 3.25.

Add the result to the highest high—the value of the horizontal trendline—and you get a target price of 20.88. Price reaches the target in mid-July 1992, when it climbs to a high of 21.63, about 6 weeks after the upward breakout.

A more visual approach is to draw a line from the start of the triangle (the top-left corner) parallel to the up-sloping trendline. The value of the line the day price breaks out of the triangle becomes the target price. The figure shows the diagonal line. Be careful when determining where the triangle begins because tagging the start of the pattern too soon will cause an abnormally high price target.

The bottom portion of the table shows how often price reaches the target. If you use the full height, as we did in the example, price will reach the target 70% of the time on average. You can use other heights (half, double) in the measure rule, and the table shows the success rate.